

All of these contract issues induce negative knock-on effects for an asset owner's larger portfolio.

4.4. SOME INVESTORS DO BETTER THAN OTHERS

There are lucky asset owners who have done extraordinarily well in PE. Conversely, many investors have done terribly.

Lerner, Schoar, and Wongsunwai (2007) call this the *limited partner performance puzzle*. They document that endowments have earned much higher returns than other investors in PE. Figure 18.7 reports IRRs in PE for different investors. (Remember, these IRRs overstate the true returns, but the return patterns will be qualitatively the same.) Endowments do the best, at 39%, and banks do the worst, at 3%. The spread between endowment and bank IRRs is a gaping 37%. Public and private pension funds have IRRs around 12%, which are toward the low end.

One reason for the vastly different investor experiences in PE is access. Some of the best PE funds are closed to new investors, and some endowments have superior access—through their networks of prominent alumni, their early entry in PE firms that have become quite successful, and their long investment horizons, which enable them to commit across several investment cycles and gain them preferential treatment. Sensoy, Wang, and Weisbach (2013) document that endowments' ability to access skilled managers has declined over time. Since 1999, they claim, endowments “no longer outperform, and neither have greater access to funds which are likely to restrict access nor make better investment selections than other types of institutional investors.” This is consistent with the early-moving endowments finding success in the 1980s and 1990s when PE was a niche market. Since then, the PE industry has grown and become

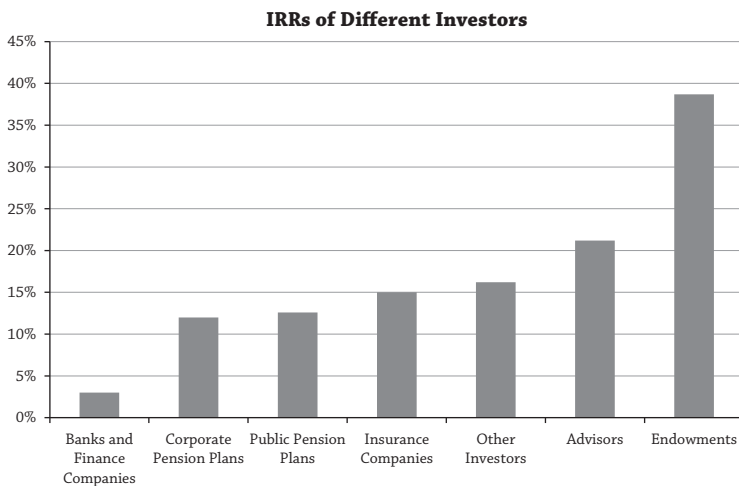


Figure 18.7